Pakistan benefited from Chinese bomb designs and fissile material, as well as A.Q. Khan's efforts, and had a working nuclear weapon capability by the mid-1980s. The prospect of a nuclear deterrent emboldened Pakistan's support for Kashmiri insurgents beginning in the late 1980s, for D-Company in the early 1990s, for an incursion in Kargil in 1999, for terrorists targeting major Indian urban centres in the 2000s, and most recently for attackers of Indian military facilities in Jammu and Kashmir and Punjab. As former Pakistani Ambassador Husain Haqqani has written, 'The possession of nuclear weapons . . . encouraged impunity in the ISI's clandestine operations in Afghanistan and Kashmir.' [18] Pakistan slowly increased its capacity to produce weapon-grade fissile material. It also worked to successfully develop plutonium-based weapons capable of miniaturization and invested in tactical ballistic missiles for use on the battlefield.

By the mid-2000s, US intelligence estimated that the ISI ran 128 training camps and facilities in Pakistan, with about 1,00,000 armed militants under their management and influence. [19] In November 2008, ten Pakistani men—who had been trained for three months at Lashkar camps in Karachi and Thatta in Sindh—killed 166 innocent civilians in Mumbai in perhaps the most dramatic televised terrorist attack since 9/11. In preparation for these attacks, ISI paid a Pakistani American, Daood Gilani (operating under the name David Headley), to survey targets in Mumbai. The operation's planners coordinated the attack via phone from Karachi.

In addition to India, Afghanistan has been another target of Pakistan-sponsored terrorist groups. During the 1990s, Pakistani military advisors were involved in training Taliban fighters, and Pakistani nationals fought in the Taliban (in the late 1990s, Pakistanis were estimated to have constituted about 20–40 per cent of Taliban forces). [20] In July 2008, a Pakistani named Hamza Shahkoor—trained by Lashkar-e-Taiba and assisted by the Haqqani Network—detonated a car bomb in front of the Indian Embassy in Kabul, killing an Indian diplomat among other victims. In 2010, Mullah Abdul Ghani Baradar, a deputy to Afghan Taliban leader Mullah Omar, was arrested in Karachi at the instruction of the United States, after which the